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CANADA BREAD REPORTS FOURTH QUARTER AND FISCAL 2003 FINANCIAL RESULTS

Toronto, Ontario – February 18, 2004 – Canada Bread Company, Limited (TSX: CBY) today announced its financial results for the fourth quarter and year ended December 31, 2003.

"In 2003 we continued to achieve strong market share growth in both our fresh bread and frozen par-baked operations," said Richard Lan, President and Chief Executive Officer. "This success was somewhat offset by a costly labour dispute and the changes inherent in integrating a number of recently acquired bakery operations. Heading into 2004, these issues are largely resolved, and we are realizing the benefits of product innovation and new account growth. Canada Bread is well positioned, supported by great brands, people and assets, to lead the market in providing premium quality, healthy bakery products."

Sales for the year increased 23% to $1.3 billion from $1.0 billion for the prior year, while earnings from operations before restructuring costs were $62.9 million compared to $63.8 million last year. The increase in sales was the result of volume growth in both fresh and frozen bread operations and the effect of acquisitions. Excluding the impact of a labour dispute at a Quebec distribution center, which cost approximately $7.4 million in 2003, the Company achieved a 10% year-over-year increase in operating earnings before restructuring charges. Net earnings for the year were $35.6 million or $1.42 per share, compared to $38.7 million or $1.80 per share for the prior year.

Sales for the fourth quarter increased 18% to $317.3 million from $269.2 for the prior year period. Earnings from operations for the fourth quarter were $16.7 million compared to $17.0 million last year. Net earnings for the fourth quarter increased by 14 % to $11.8 million ($0.47 per share), compared to $10.4 million ($0.48 per share) last year.

The decline in operating earnings for the fourth quarter of 2003 was principally due to costs associated with integrating bakery operations in Atlantic Canada, including

rationalizing plants and distribution systems. The majority of the restructuring will be completed by the end of the first quarter of 2004.

Dempster's Fresh to the Last Slice has achieved double-digit sales growth since its launch in early 2003, a significant accomplishment given the marginal growth that typically characterizes the mature sliced bread market. *Dempster's* has established strong consumer loyalty based on its wholesome and healthy market position. While Canada Bread has not experienced volume decline as a result of a revival of low carbohydrate diets, the Company has launched *Dempster's Carb Wise* white and whole wheat breads to provide consumers a clear choice. Canada Bread also launched *Healthy Way Carb Conscious* bread in Western Canada, and a new line of organic bread products in Quebec in the fourth quarter of 2003.

Sales of frozen par-baked products increased significantly in the fourth quarter, driven by new retail and food service accounts, expanded relationships with existing customers, and improved pricing. Maple Leaf Bakery (UK) continued strong growth in 2003 and has expanded its bagel production capacity. With a new bakery facility in Cumbria, England, the UK operation has broadened its product offerings to include hand held snacks such as bialys and soft pretzels.

Interest expense for 2003 was $8.4 million, substantially higher than $3.8 million in 2002 due to higher debt levels arising from the acquisition of Maple Leaf Foods' bakery assets in the United States and the United Kingdom late in 2002. Interest expense for the fourth quarter increased to $1.8 million from $1.1 million for the prior year period. Cash flow from operating activities for the fourth quarter increased to $34.0 million compared to $22.6 million for the same period last year as improvement in working capital balances were favourable by $8.2 million compared to 2002.

The Company declared a dividend of $0.06 per share payable on April 1, 2004 to shareholders of record on March 12, 2004.

The Company provides a year-over-year analysis of operating results before restructuring charges because management of the Company believes that this is the most appropriate basis on which to evaluate operating results. Restructuring charges are non-securing items and make year-over-year comparisons less useful to financial statement readers.

Canada Bread, which is 84.7% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2003 sales of $1.3 billion and employs approximately 7,000 people at its operations across North America and in the United Kingdom.

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Canada Bread Company, Limited
CONSOLIDATED BALANCE SHEETS

In thousands of Canadian dollars *(Audited)*	As at December 31, 2003	2002
ASSETS		
Current assets:		
Cash	**$ 11,528**	$ 12,389
Accounts receivable (note 3)	**44,699**	59,911
Inventories	**33,205**	30,512
Future tax asset current	**5,838**	5,274
Prepaid expenses	**2,081**	2,490
	97,351	110,576
Property and equipment	**335,811**	334,606
Other long-term assets	**2,657**	3,098
Goodwill and other intangibles	**341,814**	346,083
Future tax asset non-current	**2,321**	-
	$ 779,954	$ 794,363
LIABILITIES AND SHAREHOLDERS' EQUITY		
Current liabilities:		
Accounts payable and accrued charges	**$ 151,577**	$ 159,937
Dividends payable	**1,525**	1,285
Income and other taxes payable	**4,392**	11,862
Current portion of long-term debt	**26,941**	7,954
	184,435	181,038
Long-term debt (note 4)	**126,710**	274,435
Future tax liability	**31,382**	34,179
Shareholders' equity (note 5)	**437,427**	304,711
	$ 779,954	$ 794,363

The accompanying notes to the consolidated financial statements are an integral part of this statement.

Canada Bread Company, Limited
CONSOLIDATED STATEMENTS OF EARNINGS

In thousands of Canadian dollars except per share amounts	Quarter ended December 31,		Twelve months ended December 31,	
	2003	2002	**2003**	2002
Sales	**$ 317,278**	$ 269,176	**$ 1,262,811**	$ 1,028,571
Earnings from operations, before restructuring cost	**16,723**	16,972	**62,941**	63,799
Restructuring costs (note 2)	**-**	-	**(7,422)**	-
Earnings from operations	**16,723**	16,972	**55,519**	63,799
Other income	**(449)**	257	**(11)**	285
Earnings before interest and income taxe	**16,274**	17,229	**55,508**	64,084
Interest expense	**1,809**	1,106	**8,355**	3,766
Earnings before income taxes	**14,465**	16,123	**47,153**	60,318
Income taxes	**2,635**	5,765	**11,520**	21,564
Earnings before minority interes	**11,830**	10,358	**35,633**	38,754
Minority interest	**-**	-	**-**	57
Net earnings for the period	**$ 11,830**	$ 10,358	**$ 35,633**	$ 38,697
Earnings per share - basic	**$ 0.47**	$ 0.48	**$ 1.42**	$ 1.80
Earnings per share - diluted	**$ 0.46**	$ 0.48	**$ 1.39**	$ 1.80
Dividends per share declared	**$ 0.06**	$ 0.06	**$ 0.18**	$ 0.24
Weighted average number of shares (millions	**25.4**	21.4	**25.1**	21.4

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Canada Bread Company, Limited
CONSOLIDATED STATEMENTS OF RETAINED EARNINGS

In thousands of Canadian dollars except per share amounts *(Audited)*	Years ended December 31, **2003**	2002
Retained earnings, beginning of period	**$ 247,746**	$ 214,189
Net earnings for the period	**35,633**	38,697
Dividends declared ($0.24 per share; 2002 - $0.24 per share)	**(6,100)**	(5,140)
Retained earnings, end of period	**$ 277,279**	$ 247,746

The accompanying notes to the consolidated financial statements are an integral part of this statement.

Canada Bread Company, Limited
CONSOLIDATED STATEMENTS OF CASH FLOWS

In thousands of Canadian dollars	Quarter ended December 31, 2003	Quarter ended December 31, 2002	Years ended December 31, 2003	Years ended December 31, 2002
Cash Provided By (used in):				
Operating activities				
Net earnings for the period	**$ 11,830**	$ 10,358	**$ 35,633**	$ 38,697
Items not affecting cash				
Depreciation	**10,955**	7,199	**39,529**	28,506
Minority interest	**-**	3,089	**-**	57
Future income taxes	**210**	-	**(3,010)**	108
Other	**488**	(329)	**196**	(295)
Changes in non-cash operating working capital	**10,475**	2,272	**(5,974)**	25,112
	33,958	22,589	**66,374**	92,185
Financing activities				
Dividends paid	**(1,525)**	(1,285)	**(5,860)**	(5,140)
Increase (decrease) in long-term debt, net	**(9,771)**	236,185	**(94,522)**	234,780
Increase in share capital	**-**	-	**106,000**	-
	(11,296)	234,900	**5,618**	229,640
Investing activities				
Purchase of intangible assets	**(1,279)**	-	**(1,279)**	-
Additions to property and equipment	**(24,292)**	(6,361)	**(63,792)**	(20,678)
Proceeds from sale of property and equipment	**607**	-	**1,146**	817
Purchase of net assets of businesses, net of cash acquired	**(4,034)**	(247,539)	**(8,928)**	(288,910)
	(28,998)	(253,900)	**(72,853)**	(308,771)
Increase (decrease) in cash and cash equivalents for the period	**(6,336)**	3,589	**(861)**	13,054
Cash (bank indebtedness), beginning of period	**17,864**	8,800	**12,389**	(665)
Cash and cash equivalents, end of period	**$ 11,528**	$ 12,389	**$ 11,528**	$ 12,389

The accompanying notes to the consolidated financial statements are an integral part of this statement

Canada Bread Company, Limited
Notes to Consolidated Financial Statements
(For the quarters ended December 31, 2003 and December 31, 2002)

1. Significant Accounting Policies

The unaudited interim consolidated financial statements should be read in conjunction with the annual consolidated financial statements for the year ended December 31, 2002. These unaudited interim consolidated financial statements have been prepared in accordance with Canadian generally accepted accounting principles using the same accounting policies as were applied in the consolidated financial statements for the year ended December 31, 2002.

2. Restructuring Costs

During the first quarter of 2003, the Company recorded a $7.4 million restructuring charge ($4.8 million net of tax), related to the closure of its bakery in London, Ontario and certain other operational restructuring items.

3. Accounts Receivable

Under a revolving securitization program, the Company has sold, with limited recourse, certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and assumes limited recourse obligations for delinquent receivables. At December 31, 2003, trade accounts receivable amounting to $50 million (December 31, 2002 – $50 million) had been sold under these programs.

4. Long-Term Debt

	Quarter ended December 31,	
	2003	**2002**
External long-term debt	$ 79,728	$ 93,170
Due to Maple Leaf Foods Inc.	93,923	209,219
	173,651	302,389
Less: Current portion	26,941	7,954
Portion classified as equity	20,000	20,000
	$ 126,710	**$ 274,435**

In 2003, the Company entered into a five-year cross-currency swap with Maple Leaf Foods Limited (“Maple Leaf”) to hedge U.S. dollar denominated assets. This swap requires Canada Bread to pay interest of 3.48% per annum on U.S. $140.0 million and receive interest of 4.45% per annum on Cdn. $219.6 million. The debt with Maple Leaf is shown net of the fair value of the swap, which is approximately $36 million as at December 31, 2003.

5. Shareholders' Equity

On January 28th, 2003, the Company issued four million shares to Maple Leaf from Treasury at $26.50 per share in a private placement transaction. Proceeds from the financing of $106 million were used to pay down debt owing by the Company to Maple Leaf (note 4).

6. Contingencies and Commitments

In the normal course of business, the Company enters into sales commitments with various customers and suppliers. These commitments are for varying terms and can provide for fixed or variable prices. With respect to certain of its contracts, the Company has the right to acquire at fair value, and the suppliers have the right to sell back to the Company certain assets, which have an estimated fair value of $17 million. The Company believes that these contracts serve to reduce risk, and it is not anticipated that losses will be incurred on these contracts.

Canada Bread Company, Limited
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